COMPANY UPDATE

2026. 10. 28

Industrial Team

Youngsoo Han
Team Leader
han.youngsoo@samsung.com

Scan to go to
Research Center report database

HD Hyundai Electric (267260)

Fundamentals solid; the high achiever's paradox

- HD Hyundai Electric's 3Q operating margin missed consensus due to a higher portion of lower-margin domestic sales.
- Margins from its export projects have continued to improve, and order intake remains healthy.
- The firm's pace of additional growth should appear slower, but this is due to a high base from its early and aggressive capacity expansion and selective order-taking at the start of this cycle. Considering its solid fundamentals, we see the current valuation discount excessive.

WHAT'S THE STORY?

3Q review—in-line sales, lackluster margin: HD Hyundai Electric's 3Q sales met consensus, but operating profit missed it by 7%. Its operating margin slightly fell short of market expectations due to a higher proportion of lower-margin domestic sales. Meanwhile, export margins continued to improve. On a q-q basis, both sales and operating profit remained broadly stable. Considering the stronger won and fewer operating days, we see the quarterly results better than feared. Pre-tax profit was weighed down by forex valuation losses on overseas assets. Reflecting the larger-than-expected forex impact, we revise down our 2026 and 2027 earnings forecasts.

Order backlog growing: The company's new orders in 3Q declined q-q and y-y, as most of its delivery capacity was already allocated for massive orders received in 1H26. Demand, however, remains robust. In 2H26, the company has selectively secured orders against remaining slots—a typical pattern in a boom cycle. Furthermore, new orders still exceeded sales in 3Q. The order backlog increased both q-q and y-y.

(Continued on the next page)

AT A GLANCE

BUY

Target price	KRW750,000	66.7%
Current price	**KRW450,000**	
Market cap	KRW16.2t/USD12.2b	
Shares (float)	36,047,135 (62.7%)	
52-week high/low	KRW1,420,000/KRW447,000	
Avg daily trading value (60-day)	KRW97.8b/ USD73.9m	

ONE-YEAR PERFORMANCE

	1M	6M	12M
HD Hyundai Electric (%)	-36.4	-65.5	-45.1
Vs Kospi (%pts)	-20.2	-59.6	-60.7

KEY CHANGES

(KRW)	New	Old	Diff
Recommend.	BUY	BUY	
Target price	750,000	1,160,000	-35.3%
2026E EPS	23,561	26,890	-12.4%
2027E EPS	31,057	32,570	-4.6%

SAMSUNG vs THE STREET

No of estimates	18
Target price	1,069,167
Recommendation	4.0

※ Rating: 4 < → BUY, 3 = HOLD, 2 > → SELL

SUMMARY 3Q RESULTS

(KRWb)	3Q26	Chg		Diff (%)	
		(% y-y)	(% q-q)	Samsung	Consensus
Sales	1,180	18.5	3.3	5.6	1.5
Operating profit	285	15.1	-0.9	-0.7	-6.7
Pre-tax profit	241	-3.8	-13.6	-18.3	-20.9
Net profit	183	-4.1	-11.3	-19.3	-20.4
Margins (%)					
Operating profit	24.1				
Pre-tax profit	20.4				
Net profit	15.5				

Source: Company data, Fnguide, Samsung Securities estimates

VALUATION SUMMARY

	2025	2026E	2027E
Valuation (x)			
P/E	22.1	19.1	14.5
P/B	8.0	6.3	4.8
EV/EBITDA	14.4	12.4	9.9
Div yield (%)	1.6	1.9	2.1
EPS growth (% y-y)	46.1	15.9	31.8
ROE (%)	41.5	36.9	37.8
Per-share data (KRW)			
EPS	20,324	23,561	31,057
BVPS	56,281	71,342	92,799
DPS	7,100	8,500	9,600

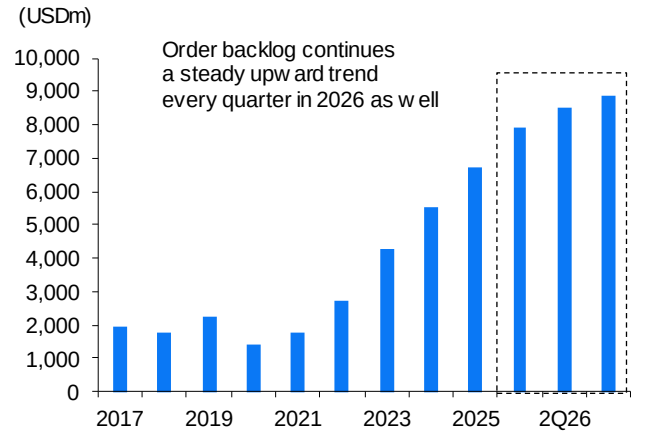
The high achiever's paradox: Despite its strong fundamentals, HD Hyundai Electric's stock has underperformed its domestic peers. This is because the firm's early and aggressive capacity expansion and selective order-taking at the start of this cycle allowed it to achieve strong growth ahead of competitors. As a result, due to the high base, its pace of additional growth should appear slower by comparison. Even with this context, the stock is trading at attractive valuations. The company still maintains higher margins than peers and continues to expand capacity and mark up prices. It recently announced further expansion at its Cheongju plant, and diversification into power distribution businesses is progressing well. Overseas peers' valuations have recently declined significantly although they continue to expand earnings steadily. Given HD Hyundai Electric's fundamentals, we believe it is fully capable of recovering to the same valuation levels recently seen among these peers. We cut our target price to KRW750,000 (based on overseas peers' average of 24x 2027 P/E—previously we used 2026 average of domestic peers). Our new target still has significant upside. We maintain BUY rating.

HD Hyundai Electric: 3Q26 review

(KRWb)	3Q26	2Q26	Chg (% q-q)	3Q25	Chg (% y-y)	Consensus	Diff (%)	Samsung Securities	Diff (%)
Sales	1,180	1,142	3.3	995	18.5	1,163	1.5	1,118	5.6
Operating profit	285	287	-0.9	247	15.1	305	-6.7	287	-0.7
Pre-tax profit	241	279	-13.6	250	-3.8	305	-20.9	295	-18.3
Net profit	183	207	-11.3	191	-4.1	230	-20.4	227	-19.3
Margins (%)									
Operating profit	24.1	25.1		24.8		26.2		25.6	
Pre-tax profit	20.4	24.4		25.2		26.2		26.4	
Net profit	15.5	18.1		19.2		19.8		20.3	

Source: Company data, Fnguide, Samsung Securities estimates

HD Hyundai Electric: Order backlog



Source: HD Hyundai Electric

Cheongju power distribution campus phase 2 investment plan

(KRWb)		
Investment amount		198
Timeline	Start	2027.05
(Plant construction)	End	2029.06
Expected revenue (annual)		250

Source: HD Hyundai Electric

Income statement

Year-end Dec 31 (KRWb)	2024	2025	2026E	2027E	2028E
Sales	**3,322**	**4,079**	**4,572**	**5,456**	**6,694**
Cost of goods sold	2,278	2,687	2,977	3,503	4,213
Gross profit	**1,045**	**1,393**	**1,595**	**1,954**	**2,481**
Gross margin (%)	31.4	34.1	34.9	35.8	37.1
SG&A expenses	376	398	434	498	586
Operating profit	**669**	**995**	**1,160**	**1,456**	**1,895**
Operating margin (%)	20.1	24.4	25.4	26.7	28.3
Non-operating gains (losses)	**-19**	**-39**	**-28**	**17**	**34**
Financial profit	146	133	115	120	43
Financial costs	153	156	155	117	9
Equity-method gains (losses)	-0	0	0	0	0
Other	-12	-16	13	14	-0
Pre-tax profit	**650**	**956**	**1,132**	**1,473**	**1,929**
Taxes	152	225	283	354	463
Effective tax rate (%)	23.3	23.5	25.0	24.0	24.0
Profit from continuing operations	498	732	849	1,120	1,466
Profit from discontinued operations	0	0	0	0	0
Net profit	**498**	**732**	**849**	**1,120**	**1,466**
Net margin (%)	15.0	17.9	18.6	20.5	21.9
Net profit (controlling interests)	502	733	849	1,120	1,466
Net profit (non-controlling interests)	-3	-1	0	0	0
EBITDA	734	1,069	1,238	1,542	1,988
EBITDA margin (%)	22.1	26.2	27.1	28.3	29.7
EPS (parent-based) (KRW)	13,914	20,324	23,561	31,057	40,678
EPS (consolidated) (KRW)	13,827	20,302	23,561	31,057	40,678
Adjusted EPS (KRW)*	13,914	20,324	23,561	31,057	40,678

Balance sheet

Year-end Dec 31 (KRWb)	2024	2025	2026E	2027E	2028E
Current assets	**2,764**	**3,426**	**4,133**	**5,472**	**7,217**
Cash & equivalents	570	951	1,100	1,133	1,251
Accounts receivable	797	736	1,002	1,271	1,834
Inventories	1,081	1,267	1,503	2,242	3,026
Other current assets	316	473	528	826	1,105
Fixed assets	**1,032**	**1,344**	**1,515**	**1,689**	**1,726**
Investment assets	6	9	9	9	9
Tangible assets	730	943	1,125	1,298	1,335
Intangible assets	66	65	55	55	55
Other long-term assets	230	327	327	327	327
Total assets	**3,796**	**4,770**	**5,649**	**7,161**	**8,943**
Current liabilities	**2,001**	**2,549**	**2,501**	**2,781**	**3,025**
Accounts payable	326	402	438	523	642
Short-term debt	20	19	100	50	40
Other current liabilities	1,655	2,128	1,963	2,207	2,343
Long-term liabilities	**287**	**188**	**576**	**1,035**	**1,539**
Bonds & long-term debt	167	47	47	27	7
Other long-term liabilities	120	141	529	1,008	1,532
Total liabilities	**2,288**	**2,737**	**3,077**	**3,816**	**4,564**
Owners of parent equity	**1,502**	**2,029**	**2,572**	**3,345**	**4,379**
Capital stock	180	180	180	180	180
Capital surplus	402	402	402	402	402
Retained earnings	816	1,323	1,866	2,639	3,673
Other	104	124	124	124	124
Non-controlling interests' equity	**6**	**4**	**0**	**0**	**0**
Total equity	**1,508**	**2,033**	**2,572**	**3,345**	**4,379**
Net debt	-310	-784	-861	-983	-1,105

Cash flow statement

Year-end Dec 31 (KRWb)	2024	2025	2026E	2027E	2028E
Cash flow from operations	**1,034**	**960**	**318**	**353**	**267**
Net profit	498	732	849	1,120	1,466
Non-cash profit and expenses	174	34	146	192	199
Depreciation	57	65	77	86	92
Amortization	9	9	6	5	5
Other	109	-39	63	101	102
Changes in A/L from operating activities	361	193	-678	-959	-1,398
Cash flow from investments	**-143**	**-226**	**-249**	**-249**	**-119**
Change in tangible assets	-121	-233	-249	-249	-119
Change in financial assets	-4	11	0	0	0
Other	-18	-4	0	0	0
Cash flow from financing	**-518**	**-350**	**81**	**-70**	**-30**
Change in debt	-345	-126	81	-70	-30
Change in equity	0	0	0	0	0
Dividends	-76	-221	-306	-346	-433
Other	-97	-3	306	346	433
Change in cash	394	381	149	33	118
Cash at beginning of year	176	570	951	1,100	1,133
Cash at end of year	570	951	1,100	1,133	1,251
Gross cash flow	**672**	**766**	**996**	**1,312**	**1,666**
Free cash flow	**912**	**726**	**68**	**103**	**147**

Financial ratios

Year-end Dec 31	2024	2025	2026E	2027E	2028E
Growth (%)					
Sales	22.9	22.8	12.1	19.4	22.7
Operating profit	112.2	48.8	16.6	25.5	30.2
Net profit	92.1	46.8	16.1	31.8	31.0
Adjusted EPS**	93.5	46.1	15.9	31.8	31.0
Per-share data (KRW)					
EPS (parent-based)	13,914	20,324	23,561	31,057	40,678
EPS (consolidated)	13,827	20,302	23,561	31,057	40,678
Adjusted EPS**	13,914	20,324	23,561	31,057	40,678
BVPS	41,662	56,281	71,342	92,799	121,478
DPS (common)	5,350	7,100	8,500	9,600	12,000
Valuations (x)					
P/E***	32.3	22.1	19.1	14.5	11.1
P/B***	10.8	8.0	6.3	4.8	3.7
EV/EBITDA	21.7	14.4	12.4	9.9	7.6
Ratios (%)					
ROE	39.3	41.5	36.9	37.8	38.0
ROA	15.0	17.1	16.3	17.5	18.2
ROIC	33.8	55.3	51.5	42.9	37.3
Payout ratio	38.4	34.9	36.1	30.9	29.5
Dividend yield (common)	1.2	1.6	1.9	2.1	2.7
Net debt to equity	-20.6	-38.6	-33.5	-29.4	-25.2
Interest coverage (x)	22.6	59.3	102.4	125.4	208.0

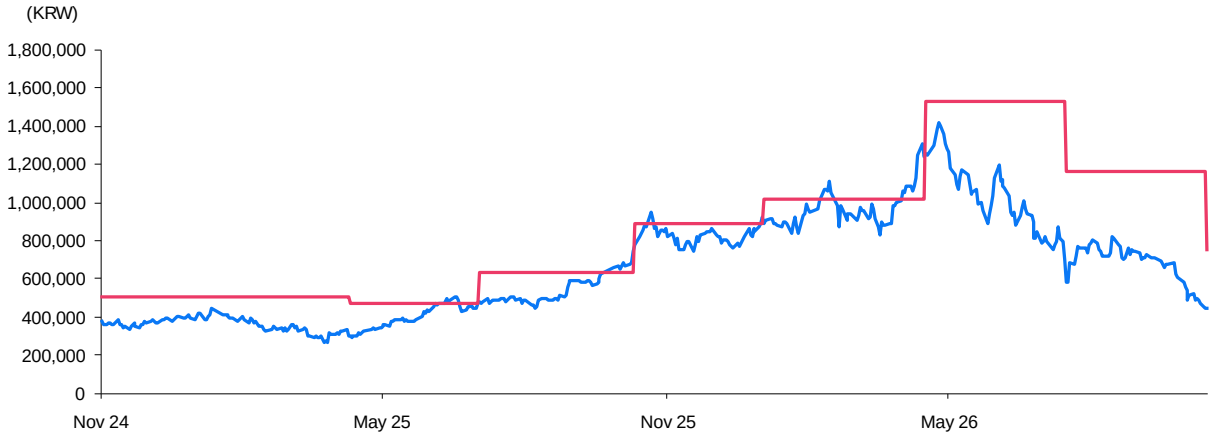
Note: *Excluding one-off items
**Fully diluted, excluding one-off items
***From companies subject to equity-method valuation

Source: Company data, Samsung Securities estimates

Compliance notice

- As of 10/27 2026, the covering analyst(s) did not own any shares, or debt instruments convertible into shares, of any company covered in this report.
- As of 10/27 2026, Samsung Securities' holdings of shares and debt instruments convertible into shares of each company covered in this report would not, if such debt instruments were converted, exceed 1% of each company's outstanding shares.
- This report has been prepared without any undue external influence or interference, and accurately reflects the views of the analyst(s) covering the company or companies herein.
- All material presented in this report, unless specifically indicated otherwise, is under copyright to Samsung Securities.
- Neither the material nor its content (including copies) may be altered in any form, or by any means transmitted, copied, or distributed to another party, without prior express written permission from Samsung Securities.
- This memorandum is based upon information available to the public. While we have taken all reasonable care to ensure its reliability, we do not guarantee its accuracy or completeness. This memorandum is not intended to be an offer, or a solicitation of any offer, to buy or sell the securities mentioned herein. Samsung Securities shall not be liable whatsoever for any loss, direct or consequential, arising from the use of this memorandum or its contents. Statements made regarding affiliates of Samsung Securities are also based upon publicly available information and do not necessarily represent the views of management at such affiliates.
- This material has not been distributed to institutional investors or other third parties prior to its publication.

Target price changes in past two years



Rating changes over past two years (adjusted share prices)

Date	2024/10/25	2025/4/23	7/16	10/24	2026/1/15	4/29	7/29	10/27
Recommendation	BUY	BUY	BUY	BUY	BUY	BUY	BUY	BUY
Target price (KRW)	502000	474000	635000	890000	1020000	1530000	1160000	750000
Gap* (average)	-28.52	-14.10	-14.26	-6.86	-5.06	-33.18	-41.03	
(max or min)**	-11.35	7.17	17.48	6.63	28.04	-7.19	-29.22	

Note: * [(average, maximum, or minimum share price over duration of target price minus target price) / target price] x 100%
** Maximum/minimum share price if new target is higher/lower than market close on the business day prior to target price change

Samsung Securities uses the following investment ratings*

Company

BUY	Expected to increase in value by 15% or more within 12 months and is highly attractive within sector
HOLD	Expected to increase/decrease in value by less than 15% within 12 months
SELL	Expected to decrease in value by 15% or more within 12 months

Industry

OVERWEIGHT	Expected to outperform market by 5% or more within 12 months
NEUTRAL	Expected to outperform/underperform market by less than 5% within 12 months
UNDERWEIGHT	Expected to underperform market by 5% or more within 12 months

* Note: Effective Jul 27, 2023, BUY, HOLD, and SELL criteria are based on expectations of share-price moves of 15% or more within 12 months

Percentage of ratings in 12 months prior to 2026.09.30

BUY(86.3%)·HOLD(13.7%)·SELL(0%)

Global Disclosures & Disclaimers

General

This research report is for information purposes only. It is not and should not be construed as an offer or solicitation of an offer to purchase or sell any securities or other financial instruments or to participate in any trading strategy. This report does not provide individually tailored investment advice. This report does not take into account individual client circumstances, objectives, or needs and is not intended as recommendations of particular securities, financial instruments or strategies to any particular client. The securities and other financial instruments discussed in this report may not be suitable for all investors. The recipient of this report must make its own independent decisions regarding any securities or financial instruments mentioned herein and investors should seek the advice of a financial adviser.

This report may not be altered, reproduced, distributed, transmitted or published in whole or in part for any purpose. References to "Samsung Securities" are references to any company in the Samsung Securities, Co., Ltd. group of companies.

Samsung Securities and/or other affiliated companies, its and their directors, officers, representatives, or employees may have long or short positions in any of the securities or other financial instruments mentioned in this report or of issuers described herein and may purchase and/or sell, or offer to purchase and/or sell, at any time, such securities or other financial instruments in the open market or otherwise, as either a principal or agent. Any pricing of securities or other financial instrument contained herein is as of the close of market for such day, unless otherwise stated. Opinions and estimates contained herein constitute our judgment as of the date of this report and are subject to change without notice.

The information provided in this report is provided "AS IS". Although the information contained herein has been obtained from sources believed to be reliable, no representation or warranty, either expressed or implied, is provided by Samsung Securities in relation to the accuracy, completeness or reliability of such information or that such information was provided for any particular purpose and Samsung Securities expressly disclaims any warranties of merchantability or fitness for a particular purpose. Furthermore, this report is not intended to be a complete statement or summary of the securities, markets or developments referred to herein.

Samsung Securities does not undertake that investors will obtain any profits, nor will it share with investors any investment profits. Samsung Securities, its affiliates, or any of its and their affiliates, directors, officers, employees or agents disclaim any and all responsibility or liability whatsoever for any loss (direct or consequential) or damage arising out of the use of all or any part of this report or its contents or otherwise arising in connection therewith. Information and opinions contained herein are subject to change without notice. Past performance is not indicative of future results. Foreign currency rates of exchange may adversely affect the value, price or income of any security or financial instrument mentioned in this report. For investment advice, trade execution or other enquiries, clients should contact their local sales representative. Any opinions expressed in this report are subject to change without notice and may differ or be contrary to opinions expressed by other business areas or groups of Samsung Securities. Any analysis contained herein is based on numerous assumptions. Different assumptions may result in materially different results. Samsung Securities is under no obligation to update or keep current the information contained herein. Samsung Securities relies on information barriers to control the flow of information contained in one or more areas or groups within Samsung Securities into other areas or groups of Samsung Securities. Any prices stated in this report are for information purposes only and do not represent valuations for individual securities or other financial instruments. Samsung Securities makes no representation that any transaction can or could have been effected at those prices and any prices contained herein may not reflect Samsung Securities' internal books and records or theoretical model-based valuations and may be based on certain assumptions. Different assumptions by Samsung Securities or any other source may yield substantially different results. Additional information is available upon request.

For reports to be distributed to US:

Securities research is prepared, issued and exclusively distributed by Samsung Securities Co., Ltd., an organization licensed with the Financial Supervisory Service of South Korea. This research may be distributed in the United States only to major institutional investors as defined in Rule 15a-6 of the U.S. Securities Exchange Act of 1934, as amended, and may not be circulated to any other person otherwise. All transactions by U.S. investors involving securities discussed in this report must be effected through Samsung Securities (America) Inc., a broker-dealer registered with the U.S. Securities & Exchange Commission and a member of the Financial Industry Regulatory Authority/SIPC, and not through any non-U.S. affiliate thereof. The analysts listed [on the front of this report] are employees of Samsung Securities Co., Ltd., or a non-U.S. affiliate thereof, and are not registered/qualified as research analysts under applicable U.S. rules and regulations and may not be subject to U.S. restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

For reports to be distributed to UK:

This report is not an invitation nor is it intended to be an inducement to engage in investment activity for the purpose of section 21 of the Financial Services and Markets Act 2000 of the United Kingdom ("FSMA"). To the extent that this report does constitute such an invitation or inducement, it is directed only at (i) persons who are investment professionals within the meaning of Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2001 (as amended) of the United Kingdom (the "Financial Promotion Order"); (ii) persons who fall within Articles 49(2)(a) to (d) ("high net worth companies, unincorporated associations etc.") of the Financial Promotion Order; and (iii) any other persons to whom this report can, for the purposes of section 21 of FSMA, otherwise lawfully be made (all such persons together being referred to as "relevant persons").

Any investment or investment activity to which this report relates is available only to relevant persons and will be engaged in only with relevant persons. Persons who are not relevant persons must not act or rely on this report.

For reports to be distributed to Korea:

This report is for private circulation only, not for sale, and is issued and distributed only to persons permitted under the laws and regulations of Korea.

For reports to be distributed to Singapore:

This report is provided pursuant to the financial advisory licensing exemption under Regulation 27(1)(e) of the Financial Advisers Regulation of Singapore and accordingly may only be provided to persons in Singapore who are "institutional investors" as defined in Section 4A of the Securities and Futures Act, Chapter 289 of Singapore. This report is intended only for the person to whom Samsung Securities has provided this report and such person may not send, forward or transmit in any way this report or any copy of this report to any other person.

Analyst certification

The views expressed in this research report accurately reflect the personal views of the analyst(s) about the subject securities or issuers and no part of the compensation of such analyst(s) was, is, or will be directly or indirectly related to the inclusion of specific recommendations or views in this research report. The analyst(s) principally responsible for the preparation of this research report receives compensation based on determination by research management and senior management (not including investment banking), based on the overall revenues, including investment banking revenues of Samsung Securities Co., Ltd. and its related entities and has taken reasonable care to achieve and maintain independence and objectivity in making any recommendations.

Copyright © 2010 Samsung Securities Co., Ltd.. All rights reserved. This report or any portion hereof may not be reprinted, sold or redistributed without the prior written consent of Samsung Securities America Inc

Samsung Securities

SAMSUNG SECURITIES

Samsung Electronics Bldg., 11, 74-gil,
Seochodae-ro, Seocho-gu, Seoul, Korea 06620
Tel: 02 2020 8000 / www.samsungpop.com

Family Center: 1588 2323

Voice Of Customer: 080 911 0900

For more information,
please call our sales representatives:

LONDON

Samsung Securities Europe Limited
1st Floor, 30 Gresham Street, London EC2V 7PG UK
Tel. 44-207-776-4311
Fax. 44-203-837-9219

NEW YORK

Samsung Securities America Limited
1330 Avenue of the Americas. 10th Floor. New York,
NY 10019
Tel: 1-212-972-2454
Fax: 1-212-972-2704

HONG KONG

Samsung Securities (Asia) Limited
Suite 4511, Two International Finance Center,
8 Finance Street, Central, Hong Kong
Tel: 852-3411-3608
Fax: 852-2114-0290

BEIJING

Samsung Securities Beijing Representative Office
Rm. 910, The Exchange Building No 118 JianGuo Lu, Chao Yang District, Beijing, China
Tel: 86-10-6522-1855 (extension 7891)
Fax: 86-10-6522-1855 (extension 7889)

TOKYO

Samsung Securities Tokyo Representative Office
#106-8532 19F, Roppongi T-Cube 3-1-1,
Roppongi Minato-ku Tokyo, Japan
Tel: 81-3-6333-2952
Fax: 81-3-6333-2953

Member of
Dow Jones
Sustainability Indices
Powered by the S&P Global CSA